THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · NCERT-TYPE CHAPTER TEST SET 1

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. NCERT-type: questions in the style of the textbook examples and exercises.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Which of the following can be used as collateral? 1

(a) land **(b)** a currency note design
(c) a cheque book **(d)** a promise

2. Deposits with banks which can be withdrawn on demand are called: 1

(a) collateral **(b)** fixed loans **(c)** demand deposits **(d)** interest

3. Cheap and affordable credit is important for a country's development because it: 1

(a) ends savings
(b) lowers wages
(c) helps people to start or expand productive activities and earn more
(d) raises prices

4. Banks make a profit because: 1

(a) they receive grants from the Prime Minister
(b) they charge no interest
(c) they charge a higher interest rate on loans than they pay on deposits
(d) they print money

5. Which of these is a formal source of credit? 1

(a) banks **(b)** relatives and friends
(c) traders **(d)** moneylenders

6. The modern forms of money include: 1

(a) currency and deposits with banks **(b)** cattle and grain
(c) gold and silver coins only **(d)** shells and beads

7. Why do the poor often borrow from informal sources? 1

(a) formal sources require collateral and documents that the poor may not have
(b) informal sources are cheaper
(c) banks pay them
(d) the RBI bans bank loans

8. Which statement about the rupee in India is correct? 1

(a) A shopkeeper may refuse payment in notes
(b) Only coins are accepted for payment
(c) It is accepted only in banks
(d) No individual can legally refuse a payment made in rupees

9. Which of these is part of the terms of credit? 1

(a) only the name of the bank
(b) interest rate, collateral, documentation requirements and mode of repayment
(c) the colour of the cheque
(d) the number of branches

10. Demand deposits are considered money because: 1

(a) they cannot be used for payment
(b) they are issued by moneylenders
(c) they are printed by the government
(d) payments can be made by cheque instead of cash

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. What is a debt trap? 2

12. What is collateral? 2

13. Name any two terms of credit. 2

14. What is a cheque? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how money overcomes the problem of barter. 3

16. What difficulties do borrowers face from informal lenders? 3

17. Explain how the role of the RBI relates to currency. 3

OR

Why do banks keep only a small proportion of deposits as cash? 3

18. Why does a poor household in India often depend on informal sources? 3

OR

Why are demand deposits considered money? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. How does credit work in two different situations: one beneficial and the other harmful? 5

OR

What is a Self-Help Group? Explain how it helps the poor. 5

20. Explain how barter is difficult and how money has made exchange easier. 5

OR

Explain the role of the Reserve Bank of India in the financial system. 5

END OF QUESTION PAPER — Total: 40 Marks